

Multinational firms



Multinational firms are those which operate factories and offices in different countries. Their rise has been an important part of the globalization of markets (see [Globalization and market integration](#)). Why do firms need to run their own operations in countries where they wish to sell? Suppose that British Pills Incorporated wants to launch a new drug in India: it could simply produce the drug in the UK and export it. There might, however, be advantages to producing in India, such as the availability of cheaper raw materials and labour. Even so, why not license an Indian firm to produce the drug? One reason is that British Pills might have a 'firm specific asset', perhaps a special production method or drug formula. The asset's value would decline if it gave access to another firm – it might soon be used to make a competing product. A better option would be for British Pills to set up its own operations in India. Multinationals' decisions

about where to locate overseas facilities are influenced by factors including market size, local production costs, tax levels and the legal environment.